

**BEFORE THE
FEDERAL MARITIME COMMISSION**

HAPAG-LLOYD, A.G., AND
HAPAG-LLOYD (AMERICA) LLC –

POSSIBLE VIOLATIONS OF 46 U.S.C. § 41102(c)

DOCKET NO. 21-09

RESPONDENTS' RESPONSE TO MOTION TO QUASH

Pursuant to 46 C.F.R. §502.71(b), Respondents Hapag-Lloyd AG and Hapag-Lloyd (America) LLC (“Respondents”), through the undersigned attorneys, oppose the Motion To Quash Respondents’ Subpoena for Attendance At Deposition (“Motion”) filed by the Bureau of Enforcement (“BOE”). For the reasons set forth below, the Motion should be denied.

I. Discovery Procedures Apply To The Commission

As an initial matter, deposition of a representative of the Commission is proper. 46 C.F.R. §502.148(a) provides:

Discovery procedures described in §§502.142 through 502.147, directed to Commission staff personnel must be permitted and must be governed by the procedures set forth in those sections except as modified by paragraphs (b) and (c) of this section.

The procedures described in §§502.142 through 502.147 include depositions of a corporate representative under §502.143(b)(6). Therefore, under the Commission’s own regulations, it is proper to depose a representative of the Commission. The Motion’s argument as to impropriety is therefore meritless.

II. The Subject Matter of The Deposition Is Proper

As explained below, Respondents seek a deposition to discuss subjects that are proper, and the grounds upon which the Motion seeks to quash the subpoena are unfounded.

The Order of Investigation and Hearing which initiated this proceeding (“Order”) contains the following statement:

IT IS FURTHER ORDERED that the requirements of 46 C.F.R. § 502.63(d) be waived, under 46 C.F.R. § 502.10 for the expeditious conduct of business. This waiver is necessary to help alleviate the unprecedented stress being placed on the supply chain, including the significant role that unreasonable detention plays in congestion and freight fluidity.

The majority of topics to be covered in the deposition relate to this statement.

A. Respondents Do Not Seek Privileged Material

Contrary to the arguments advanced in the Motion, Respondents do not seek privileged information regarding the Commission’s decision to issue the Order. BOE was informed of this in a “meet and confer” held on February 2, 2022, in which counsel for Respondents also offered to discuss narrowing the topics to be covered by the deposition. Respondents are not interested in why the Commission issued the Order, or in asking questions about any matters that may be subject to the attorney-client privilege.

The Commission asserts that the requested information is protected under the deliberative process privilege. However, in order to be subject to that privilege, materials must be both “pre-decisional” and “deliberative.” *In re Anthem, Inc. Data Breach Litig.*, 236 F. Supp. 3d 150, 159 (D.D.C. 2017). To be deliberative, information “must reflect the personal opinions of the writer rather than the policy of the agency.” *Jud. Watch, Inc. v. U.S. Dep’t of Homeland Sec.*, 926 F.

Supp. 2d 121, 133 (D.D.C. 2013), *citing Morley v. Cent. Intelligence Agency*, 508 F.3d 1108, 1127 (D.C. Cir. 2007).

Here, the statement in the Order is a statement by the agency rather than an individual, and reflects a specific decision made by the agency regarding the procedure to be followed in this case. As such, topics 1 through 3 of the subpoena relate to material that is neither pre-decisional nor deliberative. Accordingly, the deliberative process privilege does not apply.

Topics 4 and 5 also relate to matters that are not pre-decisional or deliberative. The Motion suggests that these issues relate to a future decision to be made by the Commission. However, in that respect, the Motion focuses on the wrong point in time. These questions relate to the interpretative rule on demurrage and detention issued by the Commission in May of 2020, and are therefore post-decisional rather than pre-decisional. They relate to the Commission's understanding of the interpretative rule generally, not how the interpretative rule is to be applied to the facts of this case. In other words, topics 4 and 5 relate to actions the Commission has taken previously in a rulemaking capacity, not to actions the Commission may or may not take in the future in its role as an adjudicator.

Moreover, the deliberative process privilege is not absolute and discovery may reveal reasons why it should not be applied. Courts often allow a deposition to proceed for this reason. In such cases, the privilege must be asserted in response to specific questions, rather than on a blanket basis. That allows a court to consider a given issue in a specific context. *See, e.g., Libertarian Party of Ohio v. Husted*, 33 F. Supp. 3d 914, 920 (S.D. Ohio 2014). This procedure should be followed here.

In light of the foregoing, the Motion should be denied because no privilege will be violated if the deposition is allowed to proceed.

B. The Subjects On Which Respondents Seek Testimony Are Relevant

The subjects to be covered in the deposition are highly relevant to the merits in this proceeding.

The Commission waived the normal pre-enforcement notice procedures in this case for the “expeditious conduct of business.” According to the Order, the waiver of the pre-enforcement notice procedures “is necessary to help alleviate the unprecedented stress being placed on the supply chain, including the significant role that unreasonable detention plays in congestion and freight fluidity.”

Respondents question how waiving the pre-enforcement procedures in this case will “help alleviate stress on the supply chain.” Respondents also question what role unreasonable detention plays in congestion and freight fluidity, given that detention is designed to encourage the return of equipment necessary to *facilitate* trade flow, not inhibit it. Even if detention is assessed unreasonably, it does not necessarily inhibit freight fluidity. Respondents are entitled to probe the veracity of the Commission’s statements, and Topics 1 through 3 in the subpoena are relevant to Respondents’ position that the waiver of normal pre-enforcement procedures is improper.

In addition to the due process issues raised by the waiver of pre-enforcement procedures, the portion of the Order Respondents seek to explore in a deposition appears to evidence a pre-determination of the merits of this case by the Commission, and Respondents are entitled to discovery to ascertain whether that is in fact the case. In this regard, the impartiality of the agency is a relevant issue in any adjudicatory proceeding.

Where a public statement gives the appearance that a matter has been pre-judged and that the ultimate determination of the merits will move in predestined grooves, due process issues are

raised. *See, e.g., Cinderella Career & Finishing Schools, Inc. v. FTC*, 425 F.2d 583, 590 (D. C. Cir. 1970). Similarly, where a statement made by a decision-maker reveals that the decision-maker has already concluded that a statutory violation has occurred, participation of that decision-maker in deciding the proceeding is a violation of due process. *See, Texaco, Inc. v. Federal Trade Commission*, 336 F.2d 754, 760 (D.C. Cir. 1964)(statement in speech by FTC Chairman linking respondents to illegal activity indicated Chairman had reached a conclusion as to statutory violation).

Here, the Commission's justification for the waiver of pre-enforcement procedures is that a decision in this case is necessary to help alleviate stress on the supply chain. Apparently, dealing with such stress is so important that a truncated timeline for the completion of this proceeding is also necessary. This begs the question: what if the conclusion reached in this case is that Respondents have not violated the Shipping Act? How does such a decision alleviate stress on the supply chain?

If the statement that a decision in this case will alleviate stress on the supply chain is true at all (which Respondents maintain it is not), it can *only* be true if the decision is that Respondents have violated the Shipping Act. In other words, the statement in the Order about which Respondents wish to depose a representative of the Commission appears to evidence a pre-determination of the merits of this case by the Commission, with the case to move in a pre-destined groove. This statement, coupled with the waiver of the normal pre-enforcement procedures and the establishment of an expedited timeline for the conduct of this proceeding, appear to be a rush to a pre-ordained judgment that raises serious due process issues. Respondents are entitled to discovery to ascertain the extent to which the statement in the Order reflects a pre-determination of the merits of this proceeding to ensure that their due process

rights to a fair and impartial hearing are protected, and that a full record relating to the conduct of this proceeding is available to the Court of Appeals.

Topics 4 and 5 are relevant because they relate to the extent to which the Commission has or has not considered certain issues relating to the application of its interpretative rule, such as the evidentiary threshold that a party claiming an inability to return a container must meet in order to sustain such a claim. If the Commission has not considered or has no position on these issues, this would be highly relevant to, for example, the issue of whether any violation of the Shipping Act and/or interpretative rule could be considered knowing and willful.

C. There Is No Undue Burden On The Commission

The Motion's arguments regarding burden are specious, and there is no burden, undue or otherwise.

The Commission initiated this proceeding and established the procedures under which it is to be conducted. The Commission included the statement that is the focus of the deposition in a public order issued by the agency. There is no burden, undue or otherwise, in having a representative of the Commission answer questions about the meaning of a statement made by the Commission in the public order initiating the proceeding.

IV. Conclusion

For the foregoing reasons, the Motion should be denied.

Respectfully submitted,

By: 

Wayne R. Rohde
Joshua P. Stein
COZEN O'CONNOR
1200 Nineteenth Street, NW
Suite 300
Washington, DC 20036
(202) 463-2507/2534

Dated: February 7, 2022

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 7th day of February, 2022, the foregoing Opposition was served via electronic mail on:

Benjamin Trogdon, Esq. (btrogdon@fmc.gov)

Maryanne Mundy, Esq. (mmundy@fmc.gov)

Serena Tang, Esq. (stang@fmc.gov)

A handwritten signature in black ink, appearing to read "Wayne R. Rohde". The signature is fluid and cursive, with the first name "Wayne" and last name "Rohde" clearly distinguishable.

Wayne R. Rohde